

savings account with an interest rate below 2%, you are actually losing money over time. Wondering how it can be possible to lose money on your savings when you are earning interest? Let me explain further.

According to the FDIC³ and at the time of writing this book, the national average interest rate on savings accounts currently stands at 0.09% APY. That's 1.91% lower than the rate of inflation. Let's look at a realistic example. Let's say in 2014, you spent \$100 on a good or service. Well, five years later in 2019, you'd need to have had \$108.65 in order to purchase the same thing. If you spent \$1,000, you'd need to have \$1,086.48 five years later, and if you spent \$10,000, you'd need to have \$10,864.76. And that's just in five years! Over time, as the amounts increase, what seems like just a small difference can add up to a big deal.

So, as inflation reduces the value of your money over time, one of your goals as an investor is to leverage investing over the long term to help the value of your money not only keep up with but also surpass the effects of inflation.

Based on historical data, the average stock market return on the S&P 500 since its inception in 1926 (including short-term declines and recessions like the one in 2008) has been around 10%.⁴ To break things down a little more, between 2008 and 2018, the average return was 6.88%, even taking into account the massive losses the stock market took in 2008. However, when you lengthen that time horizon to the last 50 years, from 1968–2018, the stock market had an average return of 10.09%.⁵ Adjusted for inflation, this comes out to between 7 and 8%.⁶ I'm sure you'll agree with me that over the long term, it makes total sense to focus on beating inflation by as much as possible. I'll take 7 or 8% over 0.09% anytime!

Outside the United States

To see international inflation rates by country, visit [cia.gov](https://www.cia.gov) and search “Country comparison inflation rate.”

Now let's get into the concept of compounding.